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Case Number: 24STCV14256 Hearing Date: August 5, 2026 Dept: 307

19 TENTATIVE RULING 9:15 a.m., Wednesday, August 5, 2026

DIANA PIERSON v. LUXURY HOMES, INC. [24STCV14256]

DEFENDANTS LUXURY HOMES, INC. DBA COLDWELL BANKER EXCLUSIVE AND ERWIN PINEDA'S DEMURRER AND MOTION TO STRIKE AS TO THE SECOND AMENDED COMPLAINT

MEET AND CONFER: OK Counsel met and conferred telephonically in compliance with Code of Civil Procedure § 430.41. (Lee Decl., ¶ 4.)

BACKGROUND: Employment dispute

TIMELINE:

7/1/2011: Plaintiff Diana Pierson ("Plaintiff") is hired by Defendant Luxury Homes, Inc. DBA Coldwell Banker Exclusive ("Luxury Homes") as an assistant to the Chief Financial Officer. Plaintiff was 59 years old at the time she was hired.

2020: Defendant Erwin Pineda ("Pineda"), formerly a part owner of Luxury Homes, assumes sole ownership of Luxury Homes.

11/2021: Plaintiff is diagnosed with breast cancer and uses earned “comp time” to attend her medical appointments.

3/24/2022: Plaintiff undergoes her first cancer surgery. During Plaintiff’s one week of “vacation” time to recover, she continued working telephonically.

3/31/2022: Plaintiff undergoes her second cancer surgery. While Plaintiff was waiting for her surgery, Pineda called Plaintiff and requested that she make a work-related payment on the same day, which Plaintiff did.

11/2022: Pineda reprimands Plaintiff about her attendance while she had been undergoing cancer treatment.

6/5/2023: Pineda asks Plaintiff if she was collecting social security and suggested that Plaintiff retire or work part-time.

11/1/2023: Pineda asks Plaintiff how much she was eligible to receive in unemployment. Pineda explains that he wanted Plaintiff to collect unemployment for the next six months (while continuing to work full-time for Luxury Homes) but that Pineda would pay Plaintiff the difference between her unemployment payments and her current salary. Pineda told Plaintiff that his only other option would be to cut Plaintiff’s hours in half.

1/15/2024: Pineda tells Plaintiff that he was laying her off due to the slowdown in real estate, and clarified that he was laying Plaintiff off instead of firing her so that she could collect unemployment. Plaintiff’s last day of work was 1/31/2024.

6/6/2026: Plaintiff files the Complaint. The operative Second Amended Complaint (“SAC”), filed 4/30/2026, alleges causes of action for:

1. FEHA Discrimination

2. FEHA Failure to Prevent Discrimination and Retaliation

3. FEHA Failure to Provide Reasonable Accommodation

4. FEHA Failure to Engage in the Interactive Process

5. Retaliation in Violation of Labor Code § 1102.4(c)

6. Wrongful Termination in Violation of Public Policy

7. Declaratory Judgment

8. Failure to Pay Overtime Wages in Violation of Labor Code §§ 510 & 1198

9. Failure to Furnish Compliant Wage Statements and Maintain Accurate Pay Records in Violation of Labor Code §§ 226, 1174(d), & 1198

10. Failure to Pay Sick Wages in Violation of Labor Code § 246

6/17/2026: Luxury Homes and Pineda (collectively, "Defendants") file this Demurrer and Motion to Strike, which is followed by Plaintiff's Opposition (7/21/2026) and Defendant's Reply (7/29/2026).

TENTATIVE RULING: DEFENDANTS LUXURY HOMES, INC. DBA COLDWELL BANKER EXCLUSIVE AND ERWIN PINEDA'S DEMURRER TO THE SECOND AMENDED COMPLAINT is SUSTAINED with LEAVE TO AMEND in part, OVERRULED in part, and SUSTAINED without leave to amend in part.

DEFENDANTS LUXURY HOMES, INC. DBA COLDWELL BANKER EXCLUSIVE AND ERWIN PINEDA'S MOTION TO STRIKE is DENIED in part and GRANTED with LEAVE TO AMEND in part.

I. DEMURRER

Defendants demur to the third, fourth, and seventh causes of action in the SAC pursuant to Code of Civil Procedure section 430.10, subdivision (e). Pineda also demurs to the first and second causes of action in the SAC on the same grounds.

A. 3rd and 4th Causes of Action: FEHA Failure to Provide Reasonable Accommodation and FEHA Failure to Engage in the Interactive Process – SUSTAINED with LEAVE TO AMEND

Plaintiff fails to adequately allege her third and fourth causes of action. “An employer… has an affirmative duty to make¿reasonable accommodation(s) for the¿disability¿of any… employee¿if the¿employer… knows of the¿disability, unless the¿employer…¿can demonstrate, after engaging in the interactive process, that the accommodation would impose an¿undue hardship.” (2 Cal. Code Regs. § 11068(a).) To establish the failure to provide a reasonable accommodation, a plaintiff must demonstrate that: (1) the employee suffered a disability, (2) the employee could perform the essential functions of the job with reasonable accommodation, and (3) the employer failed to reasonably accommodate the employee's disability.” (Nealy v. City of Santa Monica (2015) 234 Cal.App.4th 359, 373.) A “reasonable accommodation” is “a modification or adjustment to the workplace that enables the employee to perform the essential functions of the job held or desired.” (Nadaf-Rahrov v. Neiman Marcus Group, Inc. (2008) 166 Cal.App.4th 952, 974.) “Generally, ‘[t]he employee bears the burden of giving the employer notice of the disability…’” (Raine v. City of Burbank (2006) 135 Cal.App.4th 1215, 1222 (Raine).) “It is an employee's responsibility to understand his or her own physical or mental condition well enough to present the employer at the earliest opportunity with a concise list of restrictions which must be met to accommodate the employee.” (Jensen v. Wells Fargo Bank (2000) 85 Cal.App.4th 245, 266 (Jensen).)

FEHA also requires an employer and a disabled employee to engage in a timely, good faith “interactive process” to identify or implement effective, reasonable accommodations that will enable the employee to perform their job effectively. (Gov. Code § 12940, subd. (n); 2 Cal. Code Regs. § 11069(a); Scotch v. Art Institute of California (2009) 173 Cal.App.4th 986, 1013 (Scotch).) To prevail on an interactive process claim, "the employee must be able to identify an available accommodation the interactive process should have produced." (Id. at pp. 1018-1019.)

Here, Plaintiff alleges that she had a medical condition (breast cancer) which limited her ability to work, but that she could have performed the essential functions of her work with reasonable accommodation. (SAC, ¶¶ 71, 73, 78.) While Plaintiff generally alleges that Defendants had notice of her medical condition, she does not specifically allege that she gave notice to Defendants regarding her need for accommodation or the work restrictions arising from her cancer diagnosis and treatment. (Id. ¶¶ 72, 78.) Plaintiff's allegations that she continued to work full-time, even during her cancer recovery, undermines an inference that Defendants were on notice that Plaintiff's medical condition limited her ability to work. (Id. ¶ 38.) As referenced above, the employee has the burden of presenting the employer with a list of restrictions that are necessary to accommodate the employee's disability. (Jensen, supra, 85 Cal.App.4th at p. 266; Raine, supra, 135 Cal.App.4th at p. 1222.) Here, Plaintiff has not alleged any facts to suggest that she specifically notified Defendants that her cancer diagnosis functionally limited her ability to work comfortably, that she requested a reasonable accommodation or an interactive process to discuss potential accommodation, or that Defendants denied any particular accommodation. Thus, Plaintiff's allegation that Defendants "refused to accommodation Plaintiff's medical condition" is entirely conclusory. (SAC, ¶ 74.)

Next, Plaintiff's interactive process claim has similar defects. Because Plaintiff does not allege that Defendants were notified of the fact that Plaintiff's medical condition functionally limited her ability to work, it is not apparent that Defendants' duty to engage in the interactive process with Plaintiff was triggered. (SAC, ¶¶ 78-79.) "[A]n employer's duty to accommodate is inextricably linked to its obligation to engage in a timely, good faith discussion with an applicant or employee whom it knows is disabled, and who has requested an accommodation, to determine the extent of the individual's limitations, before an individual may be deemed unable to work." (Gelfo v. Lockheed Martin Corp. (2006) 140 Cal.App.4th 34, 61, italics added.) Moreover, the SAC does not identify any particular available accommodation that Plaintiff contends Defendants "should have produced." (Scotch, supra, 173 Cal.App.4th at p. 1013.) As Plaintiff fails to allege factual details to demonstrate the preconditions triggering Defendants' duties under FEHA were met, Plaintiff's allegation that Defendants "refus[ed] to have any dialogue with Plaintiff whatsoever" is also conclusory. (SAC, ¶ 79.)

Therefore, Defendants' demurrer to Plaintiff's third and fourth causes of action is SUSTAINED with LEAVE TO AMEND.

B. 1st and 2nd Causes of Action: FEHA Discrimination and FEHA Failure to Prevent Discrimination and Retaliation (as to Pineda only) – OVERRULED

Plaintiff has adequately alleged her first and second causes of action against Pineda based on a theory of alter ego liability. Plaintiff's discrimination claim alleges that she was terminated from Luxury Homes due to her age and medical condition. (SAC, ¶¶ 59-61.) Plaintiff's FEHA failure to prevent claim is derivative of her discrimination and retaliation claims. (Id. ¶ 64.)

Defendants argue that Pineda cannot be individually liable to Plaintiff for FEHA discrimination because he is not Plaintiff's employer. Under FEHA, only "an employer" is prohibited from engaging in improper discrimination. (Reno v. Baird (1998) 18 Cal.4th 640, 644 (Reno).) For purposes of FEHA discrimination, "an employer" is defined as "including 'any person regularly employing five or more persons, or any person acting as an agent of an employer, directly or indirectly....'" (Id. at pp. 644-645.) In Reno, the California Supreme Court expressly held that "by the inclusion of the 'agent' language the Legislature intended only to ensure that employers will be held liable if their supervisory employees take actions later found discriminatory, and that employers cannot avoid liability by arguing that a supervisor failed to follow instructions or deviated from the employer's policy." (Id. at p. 647, citing Janken v. GM Hughes Electronics (1996) 46 Cal.App.4th 55, 65–66 (Janken).) The Reno court rejected the argument that this statutory definition was intended to include every supervisory employee within the definition of “employer.” (Ibid.) Accordingly, the Reno decision adopted Janken’s conclusion that “only the employer, and not individual supervisors, may be sued and held liable.” (Reno, supra, 18 Cal.4th at p. 645.)

Here, Plaintiff alleges that she was hired to work for Luxury Homes, whereas Pineda was only the “principal” and later owner of Luxury Homes. (SAC, ¶¶ 3, 22-23.) Plaintiff also alleges that Pineda was part of the “Leadership Team” for Luxury Homes. (Id. ¶ 23.) Because FEHA limits the scope of liability for discrimination claims to the employer only, not individual supervisory employees like Pineda, Defendants argue that Pineda cannot be held personally liable for Plaintiff’s discrimination claim.

Plaintiff responds that Pineda can be held individually liable for Plaintiff’s first and second causes of action based on the alleged alter-ego relationship between Luxury Homes and Pineda. (Opp., at pp. 10-12.) Plaintiff is correct that Reno does not address a situation where the individual defendant has a dual role of both Plaintiff’s supervisor and an alter-ego relationship with Plaintiff’s employer. Indeed, Defendants appear to concede that the “only path to individual liability runs through the alter ego allegations…” (Mot., at p. 8.)

“In California, two conditions must be met before the¿alter¿ego¿doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its¿equitable¿owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone.” (Sonora Diamond Corp. v. Superior Court¿(2000) 83 Cal.App.4th 523, 538¿(Sonora Diamond).)¿When evaluating¿alter¿ego¿liability, courts may consider various factors including the commingling of funds and other assets, identical equitable ownership¿or identical directors and officers, the “use of one¿as a mere shell or conduit for the affairs of the other,” inadequate capitalization, disregard of corporate formalities,¿and¿lack of segregation of corporate records. (Id. at pp. 538-539.) When pleading alter ego liability,¿a plaintiff¿is only required to¿allege ultimate, rather than specific facts. (Rutherford Holdings, LLC v. Plaza Del Rey¿(2014) 223 Cal.App.4th 221, 236 (Rutherford).)¿Further, less particularity is¿required¿when the defendant is “assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff…” (Ibid.)¿

Here, the SAC expressly alleges that Luxury Homes and Pineda “are the alter egos of one another, and the fiction of their separate corporate existence must be disregarded.” (SAC, ¶ 13.) The Court finds that the SAC contains sufficient allegations of ultimate fact to overcome the pleading requirement for an alter ego relationship between Luxury Homes and Pineda. First, Plaintiff alleges that there “exists such a unity of ownership” between Luxury Homes and Pineda “that the individuality and separateness of defendants have ceased to exist.” (Id. ¶ 9.) Indeed, as Plaintiff alleges, Pineda assumed sole ownership of Luxury Homes in 2020, suggesting that Pineda held exclusive corporate control over Luxury Homes. (Id. ¶ 23.) Plaintiff further alleges that Luxury Homes and Pineda engaged in a disregard of corporate formalities and a commingling of business affairs, and that Luxury Homes was used by Pineda as a “mere shell and conduit” for the collective Defendants’ affairs. (Id. ¶¶ 11-12.) Second, Plaintiff alleges that the recognition of Luxury Home’s separate corporate existence would not promote justice because it would permit Defendants to insulate themselves from liability to Plaintiff. (Id. ¶ 12.) The above allegations are not merely legal conclusions but allegations of ultimate fact which support both the elements of the Sonora Diamond test. At the pleading stage, it would be unfair to require Plaintiff to plead any additional factual specificity regarding the relationship between Defendants because Defendants can be assumed to possess greater knowledge of such facts. (Rutherford, supra, 223 Cal.App.4th at p. 236.)

Notably, “[a] determination that a person is the alter ego of a corporation does not make the alter ego an employer. Rather it makes the alter ego liable for the obligations of the corporation.” (Leek v. Cooper (2011) 194 Cal.App.4th 399, 409.) Where, as here, “a third party seeks to hold the sole shareholder liable for the wrongdoing of the corporation, an alter ego theory is the appropriate way to determine whether the shareholder is liable.” (Ibid.) Accordingly, while the alleged alter-ego relationship between Luxury Homes and Pineda does not confer “employer” status onto Pineda, Plaintiff may still appropriately assert her FEHA discrimination and FEHA failure to prevent discrimination theories against Pineda by holding him liable to the same extent that Luxury Homes is liable.

Therefore,
Defendants' demurrer to Plaintiff's first and second causes of action as they pertain to Pineda is OVERRULED.

C.
7th
Cause of Action: Declaratory Judgment – SUSTAINED without leave to amend

Plaintiff
fails to adequately plead a basis for declaratory relief. Declaratory relief may be warranted where a plaintiff specifically alleges "'an actual, present controversy" and "the facts of the respective claims concerning the [underlying] subject…'" (City of Cotati v. Cashman (2002) 29 Cal.4th 69, 80.) However, "[w]here facts appear from the face of the complaint which would justify a trial court in concluding that its determination is not necessary or proper, it has been held that the court may sustain a general demurrer to the complaint for declaratory relief." (Moss v. Moss (1942) 20 Cal.2d 640, 642; see Meyer v. Sprint Spectrum L.P. (2009) 45 Cal.4th 634, 648 [the court did not abuse discretion in sustaining demurrer where allegations failed to show declaratory relief would "have any practical consequences."].)

Here, Plaintiff
is seeking declaratory relief regarding the parties' rights and duties in relation to the dispute over whether Defendants discriminated and retaliated against Plaintiff by wrongfully terminating her on the basis of her age and/or medical condition. (SAC, ¶¶
100-102.) In effect, Plaintiff is seeking a judicial declaration regarding Defendants' liability in relation to the same alleged wrongdoing underlying her FEHA discrimination, FEHA failure to prevent, and Labor Code retaliation claim. Such a declaration is not necessary because Plaintiff already has adequate legal remedies through these existing causes of action, and declaratory relief would add nothing beyond what FEHA and the Labor Code already protect. Thus, the Court finds that Plaintiff's seventh cause of action is superfluous of her discrimination and retaliation claims and improperly included in the SAC. (See Hood v. Superior Court (1995) 33 Cal.App.4th 319, 324 [declaratory relief is unavailable where it duplicates other causes of action]; see Cal. Ins. Guar. Ass'n v. Superior Court (1991) 231 Cal.App.3d 1617, 1624 ["availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief."].)

Therefore,
Defendants’ demurrer to Plaintiff’s seventh cause of action for declaratory judgment is SUSTAINED without leave to amend.

II. MOTION
TO STRIKE – DENIED in part and GRANTED with LEAVE TO AMEND in part

Luxury
Homes and Pineda move to strike: (1) the alter ego allegations, (2) the reference to a representative action, and (3) the request for punitive damages from the SAC.

First, for
the reasons discussed above, the Court finds that Plaintiff has sufficiently alleged a factual basis for alter-ego liability. (See supra, Section I.B.) Thus, Paragraphs 9 through 14 in the SAC will not be stricken. Second, the language referencing a representative action at Paragraph 103 was pled within Plaintiff’s seventh cause of action only, which has already been sustained on demurrer without leave to amend. Thus, the request to strike this allegation is moot. The motion to strike the preceding allegations is therefore DENIED.

Third,
the Court finds that Plaintiff fails to overcome the heightened pleading standard for punitive damages requests. Punitive damages are recoverable in tort actions where “the defendant has been guilty of oppression, fraud, or malice.” (Civ. Code § 3294, subd. (a).) “To support an award of punitive damages on the basis of conscious disregard of the safety of others, a plaintiff ‘must establish that the defendant was aware of the probable dangerous consequences of his conduct, and that he willfully and deliberately failed to avoid those consequences.’” (Penner v. Falk (1984) 153 Cal.App.3d 858, 867, quoting Taylor v. Superior Court (1979) 24 Cal.3d 890, 895–96). California law follows a heightened pleading standard for punitive damages. (G. D. Searle & Co. v. Superior Ct. (Ct. App. 1975) 49 Cal. App. 3d 22, 29 (“[v]ague, conclusory allegations of fraud or falsity may not be rescued by the rule of liberal construction.”)¿Additionally, “the punitive damage statute requires proof of malice among corporate leaders: the “officer[s], director[s], or managing agent[s].” (Cruz v. HomeBase (2000) 83 Cal. App. 4th 160, 167, citing Cal. Civ.

Code, § 3294, subd. (b).)

It is well-established that "a court may award punitive damages in a civil suit for job discrimination pursuant to the [FEHA]." (Dyna-Med, Inc. v. Fair Employment & Housing Com. (1987) 43 Cal.3d 1379, 1383.) Likewise, "California law long has recognized that discharges in violation of public policy may be actionable torts for which punitive damages can be recovered under Civil Code section 3294." (Commodore Home Systems, Inc. v. Superior Court (1982) 32 Cal.3d 211, 220.) However, "wrongful termination, without more, will not sustain a finding of malice or oppression." (Scott v. Phoenix Schools, Inc. (2009) 175 Cal.App.4th 702, 717.) In other words, so long as Plaintiff sufficiently alleges the requisite fraud, malice, or oppression to support her request, punitive damages may be recovered for her employment-based claims.

Here, Plaintiff is seeking punitive damages in connection with each cause of action against Defendants. (SAC, ¶ 56.) The entirety of punitive damages request is stated in Paragraph 56 of the SAC. Plaintiff's request is premised on the allegation that Defendants' conduct was "willful" and done in "conscious disregard of the rights of Plaintiff." (Ibid.) While this allegation theoretically contains sufficient ultimate facts to impute malice upon the defendants, the issue with Plaintiff's punitive damages request is that it does not specifically identify which Defendant(s) or which actions were malicious. To overcome her pleading burden, Plaintiff must identify with greater particularity what conduct was malicious (or oppressive and/or fraudulent) within the meaning of Civil Code section 3294. Of course, if Plaintiff alleges a claim for punitive damages based on the conduct of Pineda, the corporate ratification element against Luxury Homes is necessarily achieved based on their alleged alter-ego relationship. Even so, Plaintiff must allege specific, non-conclusory allegations against Pineda and/or Luxury Homes in particular. Plaintiff's general group pleading in Paragraph 56 does not overcome this heightened pleading standard.

While the Court will strike Plaintiff's punitive damages request from the SAC as presently pled, leave to amend is warranted and Plaintiff may re-allege her request by addition more factual particularity. Therefore, Defendant's motion to strike the request for punitive damages is GRANTED with LEAVE TO AMEND.

Defendant Luxury Homes, Inc. and Erwin Pineda
to serve notice of ruling. This tentative ruling (“TR”) shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR
emailed to counsel and posted to court website on 8/4/26 at 2 p.